

CAMS Exam Preparation

Complete Review of All 4 Domains (100 Slides)

Based on CAMS Candidate Handbook

*Domain A: 30% — Domain B: 20% — Domain C: 30% — Domain D:
20%*

A.1.1: Money Laundering vs. Terrorist Financing

Key Distinction (Heavily Tested)

- **Money Laundering:** Conceals **illicit origin** of proceeds; makes funds appear legitimate
- **Terrorist Financing:** Funds may be **legitimate** (donations, salary); concealment objective is **intended use**, not origin

CRITICAL: Standard AML controls focused on suspicious **origins** may fail to detect TF involving **clean-source funds**. TF can involve small amounts from many donors (crowdfunding).

A.1.2: Predicate Offenses for Money Laundering

FATF Recommendation 3 - Predicate Offenses

- FATF recommends the **"all-crimes approach"** - applies to proceeds from **all serious criminal acts**
- **Self-laundering IS criminalized** - predicate offender can also be charged with money laundering
- 6AMLD harmonizes **22 predicate offenses** across EU, including tax crimes

Example: Drug trafficker who processes own proceeds → can be charged with BOTH drug trafficking AND money laundering.

A.1.3: 6AMLD - Corporate Criminal Liability

EU Sixth Anti-Money Laundering Directive (6AMLD)

- **Harmonizes 22 predicate offenses** across all EU member states
- **Introduces criminal liability for legal persons (corporations)**
- Corporation can be prosecuted and subject to: fines, debarment from public contracts, dissolution
- Does NOT require conviction of individual directors

TIP: 6AMLD is **heavily tested** - know the difference from 5AMLD (5AMLD added VASPs and lowered prepaid card thresholds).

A.2.1: Consequences of Money Laundering

Economic Consequences

- Distorts markets and asset prices
- Undermines legitimate private sector
- Loss of tax revenue
- Reputational damage to financial centers

Social Consequences

- Funds criminal enterprises (drugs, trafficking)
- Corruption of public officials
- Erodes rule of law
- Fuels violence and instability

A.2.2: Consequences of Indiscriminate De-Risking

De-Risking Definition

Termination of entire categories of customer relationships without individual risk assessment

Negative Consequences (Heavily Tested):

- Legitimate businesses lose access to global financial system
- Drives transactions into **unregulated, informal channels** (harder to monitor)
- Harms financial inclusion and developing economies
- Contradicts the **risk-based approach**

FATF & Wolfsberg guidance: Individual, documented risk assessments required - NOT blanket exclusions.

A.3.1: Self-Laundering and Double Jeopardy

Self-Laundering (18 U.S.C. §1956)

- U.S. law **DOES** criminalize self-laundering
- Predicate offender CAN be charged with money laundering for processing own proceeds
- **Double jeopardy argument fails** - each offense requires proof of different elements

Example

Wire fraud (predicate) + money laundering of proceeds = TWO separate crimes with distinct elements.

A.4.1: Trade-Based Money Laundering (TBML)

TBML Techniques (Heavily Tested)

- **Over-invoicing:** Inflated prices → transfer excess value from importer to exporter
- **Under-invoicing:** Deflated prices → importer sells at market price, keeps surplus as "clean" funds
- **Phantom shipping:** No actual goods; fabricated documentation
- **Multiple invoicing:** Same goods invoiced multiple times

Red flags: Prices significantly above/below market, shell company exporter, multiple L/C amendments, circuitous shipping routes.

A.4.2: Free Trade Zone (FTZ) Vulnerabilities

Why FTZs are High Risk

- **Relaxed regulatory oversight**
- Minimal customs documentation inspections
- High volume of re-exported goods
- Opportunity for mislabeling cargo
- Phantom shipments

Red flags: Uniform invoice values regardless of cargo, empty containers, altered bills of lading, nominee directors.

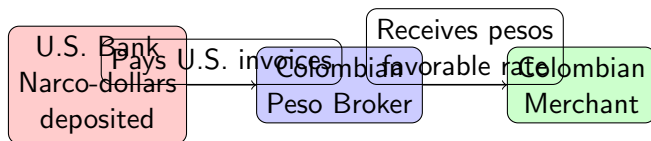
A.4.3: Black Market Peso Exchange (BMPE)

BMPE Mechanism (Heavily Tested)

- 1 Narco-dollars deposited in U.S. accounts (structured)
- 2 Colombian broker uses dollars to pay U.S. invoices for Colombian merchants
- 3 Colombian merchant repays broker in pesos (favorable rate)
- 4 **No cross-border currency movement**

Key insight: Uses drug dollars to pay legitimate commercial invoices; converts narco-dollars into domestic pesos without wire transfers.

A.4.4: Black Market Peso Exchange - Diagram



No wire transfers! The scheme uses **existing U.S. dollars** to pay legitimate invoices, avoiding cross-border movement.

A.5.1: Correspondent Banking Risks

Nested Correspondent Accounts - Critical Risk

When a respondent bank allows third parties to route transactions through the correspondent account **without disclosure**:

- Correspondent bank loses visibility into true originators/beneficiaries
- Increased risk of processing for sanctioned entities
- Violates core KYC and correspondent banking due diligence

Required actions: RFI to respondent, SAR filing, reassess relationship.

A.5.2: Payable-Through Accounts (PTAs)

PTA Obligations (U.S. Regulations)

- Correspondent bank **MUST** apply CDD directly to respondent's underlying PTA accountholders
- Must maintain records identifying each PTA accountholder
- **Cannot rely solely on respondent's CDD**

Red flag: Multiple sub-\$10,000 wires from different PTA accountholders to same shell company → possible structuring/money mule activity.

A.6.1: MSB Agent Network Risk

MSB Principal Responsibility

- MSB principal is **responsible for agent network compliance** under BSA
- Unexplained volume spikes require investigation
- SAR filing on agent location may be required
- Agent termination if compliance cannot be ensured

Red flag: Agent processes 5,000% above historical average → all transfers under \$900, same destination countries, same customer phone number.

A.7.1: PEP Definition and Family Members

PEP Classification (FATF)

Who qualifies as PEP:

- Foreign heads of state/government
- Senior politicians, cabinet ministers
- Senior judicial officials
- Senior military officials
- Senior executives of state-owned enterprises
- **Family members and close associates** of the above

Critical: Adult child of a foreign minister **IS a PEP family member** requiring EDD, even with no government position.

A.7.2: PEP Lifecycle Management

When a Customer Becomes a PEP (Mid-Relationship)

- **Immediate reclassification to HIGH risk**
- Mandatory Enhanced Due Diligence (EDD)
- Re-establish and verify source of wealth AND source of funds
- Senior management approval to continue relationship
- Back-dated gap period is a control failure

Example: Customer elected to foreign cabinet → bank must re-rate immediately, NOT wait for scheduled refresh.

PEP Status After Retirement

- FATF: maintain PEP status for "**reasonable period**" (min 12 months)
- **Risk-based decision** - consider country corruption risk, continued influence, business connections
- 5 years clean activity MAY justify lowering risk
- **Must be documented**

No automatic rule; each decision must be documented with risk rationale.

A.7.4: EDD - Source of Wealth vs. Source of Funds

Critical Distinction (Heavily Tested)

- **Source of Funds (SoF):** Specific transaction being deposited (e.g., property sale contract)
- **Source of Wealth (SoW):** How PEP accumulated **overall assets** (career earnings, inheritance, business)

EDD for PEPs requires BOTH. A lifelong civil servant with a \$4.5M Paris apartment → SoF document (sale contract) insufficient; need SoW documentation showing how property was acquired.

CDD Triggers for Life Insurance

- Premium $\geq$ USD/EUR 10,000 per year OR single premium $\geq$ USD/EUR 10,000
- Must apply CDD to **policyholder AND beneficiary** (once designated)

Exploitation methods:

- Policy loan feature = layering (convert premium to "legitimate" loan check)
- Cash surrender value extraction
- Premiums from secrecy haven jurisdictions + offshore shell company beneficiary = red flags

A.9.1: MSB Registration Triggers (U.S.)

Who Must Register as MSB with FinCEN

- Check casher cashing $\geq$ \$1,000/person/day
- Money transmitter (any volume)
- Currency dealer or exchanger
- Issuer or seller of prepaid access
- Traveler's check issuer

Grocery store cashing checks $\geq$ 1,000/day without registration = BSA violation. "No ID required" policy + MSB services = ML vulnerability.

A.10.1: Insurance Red Flags

Life Insurance ML Indicators

- Single premium payment from offshore shell company
- Early surrender (60 days) with proceeds to different account
- Policyholder is foreign PEP; beneficiary is offshore shell company
- Premium from secrecy haven jurisdiction
- Large premium relative to legitimate income

Layering technique: Purchase policy → take policy loan → wire to offshore account → surrender policy.

A.11.1: FATF Travel Rule for VASPs

Virtual Asset Travel Rule (Recommendation 16)

Required information for transfers above threshold (USD/EUR 1,000):

- Originator: name, account number/wallet ID
- Originator: address, national ID, or DOB (at least one)
- Beneficiary: name and account number/wallet ID

Receiving VASP obligations: Must obtain and hold info; if not provided
→ follow up, delay transaction, apply EDD, consider SAR.

FATF DeFi Guidance - Critical Point

If a person/entity maintains **control or sufficient influence** over a DeFi protocol:

- Through governance token majority (>50%)
- Ability to upgrade contract code
- Ongoing management/control

They may be considered a VASP subject to registration, KYC, transaction monitoring, and SAR filing obligations.

Example: 5 founders retain 68% governance tokens and control code → likely subject to AML obligations.

A.11.3: Privacy Coins and Mixers

Anonymity-Enhanced Cryptocurrencies (AECs)

Monero (XMR) risk features:

- Ring signatures and stealth addresses obscure transaction trails
- Can be used with mixers/tumblers to further obfuscate

Red flags requiring EDD/SAR:

- Customer deposits privacy coin → immediately exchanges → sends to non-custodial wallet → refuses to explain source
- Funds sent through non-regulated mixer before deposit
- Customer claims "privacy protection" without legitimate explanation

A.11.4: NFT Wash Trading

NFT Wash Trading Typology

- 1 Self-controlled wallets buy/sell same NFTs among themselves
- 2 Prices artificially escalate through circular transactions
- 3 Creates fraudulent market record
- 4 Sells NFT to unwitting third party at inflated price
- 5 Converts to fiat, reports as "capital gain"

Exchange obligation: File SAR based on wash trading pattern regardless of whether underlying proceeds from predicate crime.

A.12.1: Casino Chip Washing

Chip Washing Scheme

Pattern:

- Large cash purchase of chips (i \$10,000)
- Minimal gaming (45 min, \$1,500 played)
- Cash out rest for casino check
- Accepts small "gaming loss" as laundering fee

Obligations: File CTR for cash-in + SAR (chip washing pattern) → combined placement and integration technique.

In-Game Currency Laundering

Stages:

- ➊ **Placement:** Purchase in-game currency with criminal cash via prepaid cards
- ➋ **Layering:** Distribute across multiple gamer accounts
- ➌ **Integration:** Sell currency peer-to-peer for PayPal, deposit to clean accounts as "gaming income"

Difficulty: Small individual transactions (\$200-\$800) fall below reporting thresholds; requires pattern recognition.

A.13.1: FinCEN Geographic Targeting Orders (GTOs)

GTO Requirements

- Title insurance companies must identify **natural persons behind legal entities**
- All-cash purchases above threshold (\$300,000 in designated areas)
- Target specific metropolitan areas (Miami, LA, NYC, etc.)
- **Temporary** orders, renewed periodically

Red flags: Recently formed LLC, IOLTA wire, registered agent refuses UBO disclosure → decline closing until UBO identified.

A.13.2: Real Estate Integration

Real Estate as Integration Vehicle

Example scheme:

- ① Structured cash deposits (placement)
- ② Purchase property via anonymous LLC (layering)
- ③ Rent property, report rental income on taxes (integration)

Red flags for acquiring bank when property sold:

- Rapid appreciation (e.g., \$9.5M to \$12M in 18 months)
- Original purchase by anonymous LLC
- Wire proceeds to secrecy haven account
- No verified source of acquisition funds

A.14.1: IOLTA Account Vulnerabilities

Why IOLTA Accounts Are Dangerous

- Banks rely on attorney's professional status
- **Do NOT look through** pooled account to identify individual client sub-transactions
- Illicit funds enter credentialed by attorney status
- Commingled with legitimate client funds
- Rapid disbursement possible

Red flags: Wire from shell company to IOLTA, retainer disproportionate to transaction, no face-to-face contact, rapid disbursement to offshore.

A.15.1: Trust Beneficial Ownership

Trust CDD Requirements (FATF)

Must identify and verify:

- Settlor
- Trustee (and its UBOs if corporate trustee)
- **Protector** (if has veto or replacement rights)
- Beneficiaries (to extent determinable)

Protector with veto over distributions qualifies as PEP if former head of state → entire trust becomes high risk requiring EDD.

Bearer Shares - Highest Vulnerability

- Ownership transferred by physical delivery of certificate
- **NO public registry record**
- FATF Recommendation 24: prohibit or require immobilization with regulated custodian

Bank obligations:

- Verify custodian can identify bearer share holder at all times
- Still need to identify UBO for CDD regardless of immobilization
- Decline account if custodian refuses to disclose UBO

A.16.1: Financial Statement Manipulation

Red Flags Involving Accountants

- Financial statements inconsistent with bank statements
- Unusually high "consulting fees" or "services" with no deliverables
- Client cannot explain discrepancy between reported income and cash flow
- Auditor unwilling to verify underlying records

Bank action: Verify underlying records; do NOT rely solely on prepared financial statements.

A.17.1: Human Trafficking Financial Indicators

Trafficking Red Flags (Heavily Tested)

- Multiple individuals sending small payments to single controller account
- Controller pays utilities for multiple residential addresses
- Weekly cash withdrawal of 85-95% of balance
- No employment contracts or payroll records
- Victims share same surname as controller

vs. Human Smuggling: Trafficking = ongoing exploitation; Smuggling = one-time fee for illegal border crossing.

FATF Recommendation 8 - NPO Risks

Vulnerabilities:

- Operate in conflict zones with weak financial monitoring
- Enjoy public trust, receive large cash donations
- Limited scrutiny of fund utilization
- Cash withdrawals inconsistent with stated mission

Red flags: Large donation from Grey List jurisdiction, rapid cash withdrawal far from HQ, transfers to conflict zone sub-NPOs where terrorists control aid.

B.1.1: FATF Mutual Evaluation - Two Pillars

Technical Compliance vs. Effectiveness

- **Technical Compliance:** Do laws exist on paper? (40 Recommendations)
- **Effectiveness:** Do laws achieve intended outcomes? (11 Immediate Outcomes)

Critical: A country can have **perfect technical compliance** but **Low effectiveness** if:

- FIU never disseminates intelligence to law enforcement
- Zero ML convictions
- No asset forfeitures

B.1.2: FATF Immediate Outcomes (IO.1-IO.11)

Key Immediate Outcomes (Heavily Tested)

- **IO.1:** ML/TF risks understood and coordinated domestically
- **IO.6:** Financial intelligence used by competent authorities
- **IO.7:** ML investigated and prosecuted
- **IO.8:** Proceeds of crime confiscated
- **IO.10:** TF investigated and prosecuted

Evidence for IO.1: Regular NRA that drives resource allocation, NOT just existence of laws.

B.1.3: FATF Grey List vs. Black List

Grey List - Increased Monitoring

- Committed to action plan
- Apply EDD to transactions
- NOT automatically required to terminate relationships
- Individual risk assessments required

Black List - Call for Action

- Strategic deficiencies
- Apply **countermeasures**
- May include restricting or terminating relationships
- FATF calls on members to act

B.1.4: FATF Recommendation 16 - Wire Transfer Rule

Required Information (Cross-border > USD 1,000)

Originator:

- Full name
- Account number
- Address, national ID, customer ID, OR DOB (at least ONE)

Beneficiary:

- Name
- Account number

Most critical violation: Omitting ALL three qualifying identifiers for originator.

B.1.5: FATF Recommendation 10 - CDD Triggers

When CDD Must Be Conducted

- 1 Establishing business relationship
- 2 Occasional transaction above threshold (USD/EUR 15,000)
- 3 Suspicion of ML/TF (regardless of amount)
- 4 Doubt about veracity of previously obtained ID

CDD elements: Identify customer, verify ID, identify beneficial owner, understand purpose and intended nature, ongoing monitoring.

B.1.6: FATF Recommendation 1 - Risk-Based Approach

RBA Principles

- Identify, assess, understand ML/TF risks
- Apply measures **commensurate with risks**
- Simplified measures where risks are lower
- Enhanced measures where risks are higher
- **NOT** zero-risk tolerance

Contrast with rules-based approach: RBA is more effective and efficient; concentrates resources on highest risks.

B.1.7: FATF Recommendation 3 - Money Laundering Offense

Key Requirements

- Apply to **all serious predicate offenses** (all-crimes approach preferred)
- Apply to **self-laundering** (predicate offender can be charged)
- Apply regardless of whether predicate offense occurred in another jurisdiction

Minimum predicate offenses: At least designated categories including drug trafficking, fraud, corruption, tax crimes.

B.1.8: FATF Recommendation 5 - Terrorist Financing Offense

TF Offense Requirements

- Criminalize TF regardless of whether funds actually used for terrorist act
- **No minimum monetary threshold**
- Collection of funds for terrorist purposes is sufficient
- Standalone offense (not just covered under ML)

Deficiency: \$10,000 threshold violates Recommendation 5; zero convictions despite known TF activity = low effectiveness.

B.1.9: FATF Recommendation 8 - NPOs

NPO Obligations

- Apply targeted risk-based supervision of NPOs vulnerable to TF
- Mechanisms to prevent NPO misuse by terrorist organizations
- Outreach, supervision, monitoring of cross-border transactions

NOT exempt: Conflict zone NPOs are HIGH risk, not exempt. Cash withdrawal velocity mismatch with charitable mission = red flag.

B.1.10: FATF Recommendation 14 - MVTs (Hawala)

Money or Value Transfer Services

- Must be licensed or registered
- Subject to AML/CFT monitoring
- Unlicensed providers subject to sanctions
- **No cultural heritage exemption** for hawala

Hawala risks: Trust-based settlement, no traceable banking record, no CDD, no SAR filing.

Virtual Assets and VASPs

- Countries must assess ML/TF risks of new technologies
- VASPs must be licensed or registered
- Subject to AML/CFT obligations (including Travel Rule)
- **No exemption** for DeFi if control exists

Applies to: Crypto exchanges, custodian wallet providers, certain DeFi protocols with control.

B.1.12: FATF Recommendation 19 - High-Risk Jurisdictions

Response to FATF-Designated High-Risk Jurisdictions

Black List (Call for Action):

- Apply EDD to relationships and transactions
- Apply countermeasures (may include restricting or terminating relationships)

Grey List (Increased Monitoring):

- Apply EDD
- Countermeasures not automatically required
- Individual risk assessments

B.1.13: FATF Recommendation 20 - STR Filing

STR Timing - Critical

- File STR **immediately upon suspicion**
- Regardless of transaction value
- **No requirement for conclusive proof**
- Reasonable suspicion standard

\$2,500 suspicious transaction → **MUST** file STR. Cannot wait for \$10,000 threshold or conclusive evidence.

B.1.14: FATF Recommendation 24 - Legal Person Transparency

Beneficial Ownership of Legal Persons

- Prohibit bearer shares OR require immobilization with regulated custodian
- Adequate, accurate, current BO information must be obtained and held
- Information accessible to competent authorities

Deficiency: Registry not accessible to FI without court order = violation.

B.1.15: FATF Recommendation 25 - Trusts

Beneficial Ownership of Legal Arrangements

- Trustees must hold adequate, accurate, current BO information
- Information accessible to competent authorities
- Applies to express trusts

Who to identify: Settlor, trustee, protector, beneficiaries (to extent determinable).

Supervisory Requirements

- Supervisors must have adequate powers (inspect, impose sanctions)
- Risk-based approach to allocate resources and determine examination frequency
- On-site and off-site monitoring

Deficiency: 5-year examination frequency for all banks regardless of risk, no penalties issued in 10 years.

Financial Investigation Requirements

- LE must conduct financial investigations into ML/TF
- Must be able to identify, trace, initiate freezing and seizure
- Must have power to obtain financial records **expeditiously**

Deficiency: 6-12 month delay to obtain records → undermines effectiveness.

Cross-Border Currency Declaration

- Declaration or disclosure system for currency and bearer negotiable instruments
- Authority to stop/restrain couriers
- Sanctions for false declarations or non-disclosure

Deficiency: No declaration system + intercepted couriers + no penalties = violation.

B.2.1: UNSCR 1540 - Proliferation Financing

Proliferation Financing Red Flags

- Export of dual-use goods to country under UNSC nuclear sanctions
- Payment routed through third-party intermediaries
- Inconsistent end-use declaration (e.g., "atmospheric research" for rad-hard ICs)
- Destination under UN arms embargo

Bank obligation: Decline financing, file STR, notify export control authority.

B.3.1: Egmont Group - FIU Information Exchange

Egmont Group Principles

- Secure platform (Egmont Secure Web) for FIU-to-FIU exchange
- Information used **ONLY** for AML/CFT purposes
- Receiving FIU must maintain confidentiality
- **NOT a substitute for MLAT** (intelligence not automatically admissible in court)

MLAT vs. Egmont: MLAT for evidence admissible in court; Egmont for intelligence sharing between FIUs.

B.4.1: Wolfsberg Group

Wolfsberg Group - Key Facts

- Private association of **13 global banks**
- Develops best practices and guidance (not legally binding)
- Focus: correspondent banking, private banking, AML/CFT
- CBDDQ (Correspondent Banking Due Diligence Questionnaire)

Most critical risk factor: Respondent servicing unlicensed MSBs + payable-through access + 4-year audit gap.

B.4.2: Basel Committee on Banking Supervision

Basel Committee Expectations

- AML/CFT integrated into **overall operational risk management**
- Across all **three lines of defense**
- Enterprise-Wide Risk Assessments (EWRAs) required

Three Lines: 1st = business operations; 2nd = compliance; 3rd = internal audit.

B.5.1: Mutual Legal Assistance Treaties (MLATs)

MLAT Function

- Formal, legally binding mechanism
- Exchange of evidence, judicial documents
- Cross-border asset freezing and forfeiture
- Records obtained admissible in criminal proceedings

Process: MLAT request from Country A to Country B's judicial authority for bank records.

B.6.1: National Risk Assessments (NRAs)

Using NRA in Bank's EWRA

- Adjust bank's EWRA to reflect national findings
- Enhance monitoring of identified high-risk sectors
- Apply additional EDD measures for sectors identified as highest risk
- Allocate resources proportionately

Example: NRA identifies electronics imports as highest TBML risk → bank enhances monitoring of electronics import customers.

B.7.1: Wolfsberg CBDDQ Key Areas

Wolfsberg CBDDQ Covers

- 1 Respondent's AML/CFT policies, procedures, controls
- 2 Customer base (high-risk segments: MSBs, NBFIs, foreign PEPs)
- 3 Independent testing schedule and results
- 4 AML program audit status

NOT covered: CEO's personal investments, office furniture, employee dress code.

B.8.1: Enterprise-Wide Risk Assessment (EWRA)

EWRA Components

- Inherent risk across: products, services, customer types, geographies, delivery channels
- Mitigating controls in place
- Residual risk determination
- Drives resource allocation

High residual risk (≥6.0/10): Board escalation, audit prioritization, risk mitigation plan required.

Section 311 - Primary ML Concern

Measures that can be imposed:

- Prohibit or condition correspondent/payable-through accounts
- Impose special recordkeeping/reporting requirements

NOT authorized: Seize personal assets of employees, freeze all individual customer accounts.

Shell Bank Prohibition - Absolute

Shell bank definition: Bank with NO physical presence in ANY country, NOT affiliated with regulated financial institution. **U.S. banks absolutely prohibited** from maintaining correspondent accounts for foreign shell banks.

No exceptions for: G20 regulation, SAR filing, enhanced monitoring.

B.9.3: USA PATRIOT Act Section 314(a)

314(a) - Law Enforcement Requests

Obligations:

- Search accounts and transactions per FinCEN instructions
- Maintain confidentiality of request
- Report matches to law enforcement
- **CANNOT** freeze accounts automatically

Not required: Freeze accounts, file SAR for every searched account, notify customer.

B.9.4: USA PATRIOT Act Section 314(b)

314(b) - Voluntary Information Sharing

Permissible:

- Opted-in institutions may share info about suspected ML/TF
- Safe harbor from liability
- Build complete picture across institutions

NOT tipping-off: Sharing under 314(b) is explicitly permitted by law.

B.9.5: USA PATRIOT Act Section 319(b)

319(b) - Record Production

- U.S. can demand foreign bank produce records of U.S. correspondent account
- If foreign bank refuses: U.S. bank may be required to terminate account
- Funds in account may be seized

Key distinction 319(a): Forfeiture of funds in interbank accounts traceable to money laundering.

B.9.6: BSA Five Pillars (31 CFR §1020.210)

Five Required Pillars

- 1 Internal controls
- 2 Designated compliance officer (BSA Officer/MLRO)
- 3 Ongoing employee training
- 4 Independent testing
- 5 Customer due diligence (including beneficial ownership)

All five required. CDD Rule (2016) added beneficial ownership as fifth pillar.

B.9.7: FinCEN CDD Rule - Two Prongs

Beneficial Owner Identification

Ownership Prong: Any individual owning 25% or more of legal entity

Control Prong: At least one individual with significant managerial control (CEO, CFO, etc.)

Aggregation required: Direct + indirect ownership (multiply through tiers).

B.9.8: SAR Safe Harbor (31 U.S.C. §5318(g))

Safe Harbor Protections

- Immunity from civil liability for good-faith SAR filing
- Immunity from liability for failure to disclose SAR to customer
- **Does NOT permit** using SAR as evidence in court

Confidentiality: Unauthorized disclosure is criminal offense (fines + imprisonment). Retention: 5 years from filing date.

B.10.1: Secondary Sanctions Risk

OFAC Secondary Sanctions - Extraterritorial

- Can target non-U.S. entities with **no U.S. nexus**
- Process: conduct "significant" transactions with designated sectors (Iran energy, Russia defense)
- Consequences: SDN listing, loss of USD correspondent access, cut off from dollar-clearing

EU Blocking Statute: Provides defense in EU courts but DOES NOT prevent U.S. secondary sanctions.

B.11.1: PPP Purpose and Function

Public-Private Partnership Goals

- Improve intelligence sharing between govt and FIs
- Detect complex financial crime networks
- Share emerging typologies
- Help law enforcement prioritize financial intelligence

Does NOT replace: SAR filing, independent testing, CDD obligations.

B.12.1: FinCEN 314(a) Search Requirements

Search Obligations

- Search accounts AND transactions
- Time period specified in request
- Confidentiality required
- Report matches (do NOT freeze accounts)

When search required: Upon receipt of 314(a) request from FinCEN.

B.13.1: GDPR vs. AML - Right to Erasure

Resolution (GDPR Article 17(3))

Exception to right to erasure where retention necessary for compliance with legal obligation. **AML/CFT recordkeeping obligations**

OVERRIDE GDPR erasure requests.

Also: SAR confidentiality prohibits acknowledging existence of SAR to customer (even in GDPR response).

C.1.1: Systemic Governance Failures

Root Causes of BSA Program Failure

- Vacant BSA Officer position (11+ months)
- No independent testing independence (audit tests own designs)
- Missing EDD documentation (34% of high-risk accounts)
- Poor SAR quality (60% lacked sufficient detail)
- No program maintenance (monitoring never recalibrated in 5 years)

Not technology failure → structural changes to accountability, resources, board engagement required.

C.2.1: Three Lines of Defense - Roles

Correct Alignment

- **First Line:** Business operations (relationship managers, tellers) - OWN customer relationships
- **Second Line:** Compliance Department, AML Officer - OVERSIGHT and guidance
- **Third Line:** Internal Audit - INDEPENDENT assurance to Board

Independence violation: Audit cannot design controls it later tests.

C.2.2: Board of Directors Responsibilities

Board AML Responsibilities

- Approving AML compliance program and material changes
- Providing oversight
- Holding senior management accountable for AML effectiveness
- Receiving escalation for high residual risk

NOT Board responsibilities: Filing SARs, reviewing every transaction, KYC interviews.

C.3.1: Risk Appetite Statement (RAS)

Well-Constructed RAS

"Zero-tolerance for willful violations; some residual risk acceptable after controls; resources allocated proportionately to higher-risk areas."

Key elements:

- Acknowledges zero risk is unattainable
- Defines acceptable vs. unacceptable risk
- Guides resource allocation
- Board-approved

C.4.1: Residual Risk Determination

EWRA Process

Inherent Risk - Mitigating Controls = Residual Risk

High residual risk (≥6.0/10) requires:

- Board escalation
- Independent audit prioritization
- Risk mitigation plan with timeline

C.5.1: Calibrating EDD Intensity

Risk-Proportionate EDD - Example

Scenario X (Domestic PEP, \$5k salary account):

- Verify PEP status, source of salary funds, board approval
- Lower intensity EDD

Scenario Y (Foreign PEP, \$45M, ministry-linked funds):

- Full source of wealth investigation
- Corroborated documentation
- Senior management sign-off
- Transaction-by-transaction review

C.6.1: Documentation Hierarchy

Definitions

- **Policies:** High-level board-approved principles
- **Standards:** Mandatory requirements implementing policies
- **Procedures:** Detailed step-by-step instructions

Example: Policy = "High-risk customers require EDD" → Standard = "EDD includes SoW/SoF verification" → Procedure = Step-by-step SoW documentation guide.

C.7.1: Proactive Regulatory Monitoring

Effective Horizon Scanning Includes

- Regulatory proposals (pending, not just effective)
- FATF publications and guidance
- Enforcement actions against peer institutions
- Emerging typology reports

Purpose: Adjust AML program BEFORE requirements become mandatory.

C.8.1: Documented Risk-Based Termination

Justified Risk-Based Exit (NOT De-Risking)

Termination based on:

- Documented individual risk assessment (not blanket exclusion)
- Specific risk factors (downstream customer composition)
- Respondent's failure to respond to multiple RFIs

Defensible: Banks not required to maintain relationships with unacceptable AML risk.

C.9.1: Effective Board Reporting Metrics

Key Metrics for Board

- SAR filing trends (volume, types)
- Alert-to-SAR conversion rates
- Aging of open investigations
- Independent testing results
- Regulatory exam findings
- Emerging typologies

NOT sufficient: Total accounts opened, monthly net income, training completion counts without assessment.

C.10.1: SAR Filing Standard

Reasonable Suspicion - NOT Conclusive Proof

- Standard = reasonable suspicion
- Failure to file when standard met = regulatory risk
- BSA Officer can face personal liability
- Commercial relationship NOT a valid basis for non-filing

"Evidence not conclusive" is NOT a valid reason to decline SAR filing.

C.10.2: Alert Investigation Standards

Material Deficiency - Unverified Assumptions

- Cannot close alert based on unverified assumptions
- Must obtain supporting documentation
- Compare against expected activity profile
- Escalate if legitimate explanation cannot be documented

Example: "Customer is a car dealer; cash from sales is normal" without reviewing daily sales logs = deficient.

C.11.1: Integration with Operational Risk

Basel Committee Expectation

AML/CFT risk management integrated into bank's overall operational risk framework across all three lines of defense - NOT a siloed compliance function.

Collaboration areas:

- Cybersecurity shares threat intelligence with AML
- Data privacy coordinates with AML for GDPR compliance
- IT ensures data quality for transaction monitoring

C.12.1: Trigger Events for Immediate KYC Refresh

Material Change Triggers

- Wire transfers to sanctioned jurisdictions (Syria, North Korea)
- Change in management/ownership
- New international activity not in profile
- Adverse media
- PEP designation change

Cannot wait for scheduled refresh (every 3 years) - immediate out-of-cycle CDD required.

C.13.1: False Negative Risk

77% False Negative Rate = Material Deficiency

- 77% of historical SAR cases would NOT generate alerts under current thresholds
- NOT acceptable because alert volume is high (22k/month)
- Operational burden not justification for ineffective monitoring

Required: Recalibrate, document findings, remediation plan with timeline, present to board.

C.14.1: Multi-Dimensional Risk Matrix

Risk Factors (rated Low/Medium/High)

- ① Customer type/PEP status
- ② Geographic risk
- ③ Product/service risk
- ④ Source of funds complexity

Aggregate scores:

- 4-6: Standard CDD
- 7-9: Medium EDD
- 10-12: Full EDD + Senior Management Approval

Dual-Use Goods Controls

- End-user certification verification
- Trade finance documentation chain analysis
- Economic rationale assessment
- UNSC/OFAC sanctions screening

Red flags: RadHard ICs + UN arms embargo destination + "atmospheric research" end-use + multi-intermediary payment.

C.16.1: Insider Threat Response

Unauthorized SAR Data Access

- Immediate revocation of system access
- Escalate to HR and BSA Officer
- Investigate scope of unauthorized access
- Consider SAR filing (tipping-off, other violations)

Not acceptable: Warning email only, no escalation.

C.17.1: Required Documentation

Before Closing an Alert

Must obtain and review:

- Source documents (daily sales logs, title records, receipts)
- Compare against expected activity profile
- Check consistency with known customer behavior
- Document rationale

Cannot close based on: "Customer is a dealer; cash is normal" (unverified assumption).

C.18.1: Complete Investigative File

Required Components

- Chronological narrative
- All investigative steps taken
- Financial data analysis
- Clear conclusions
- All supporting documentation archived

NOT sufficient: "Account reviewed and deemed acceptable" with no supporting analysis.

SAR-Subject Account Requirements

- Formal senior management review
- Documented justification for continued service
- BSA Officer involvement in decision
- Heightened ongoing monitoring

Exclusion of BSA Officer = governance failure. "Commercial importance" not a valid override.

C.20.1: Subpoena Response Protocol

Required Actions

- 1 Promptly comply within specified timeframe
- 2 Gather all requested documentation
- 3 Maintain complete internal mirror file of everything produced

Do NOT: Notify customer (may be tipping-off), destroy records, refuse compliance.

C.20.2: Law Enforcement "Keep Open" Requests

Protocol for Keep Open Requests

- 1 Obtain request IN WRITING from law enforcement
- 2 Document thoroughly
- 3 Obtain senior management approval
- 4 Maintain heightened monitoring

Do NOT: Publicly announce cooperation, ignore request without documentation, close account without coordination.

What is NOT De-Risking

Individual, documented risk assessment based termination = justified risk-based exit.

What IS De-Risking (discouraged):

- Blanket termination of all relationships in a region
- Categorical exclusion based solely on geography
- No individual risk assessment

C.22.1: Tipping-Off Violations

Tipping-Off Prohibitions

Prohibited:

- Telling customer a SAR has been filed
- Disclosing compliance team is "reviewing transactions" (specific account)
- Disclosing investigation to unauthorized third parties
- Publicly announcing customer under investigation

Permissible:

- Internal sharing with legal department (need-to-know)
- 314(b) sharing with other opted-in institutions

C.23.1: Role-Based Training Requirements

Tailored Training by Role

- **Tellers:** Cash structuring indicators, CTR reporting
- **Private bankers:** PEP, SoW, EDD
- **Board:** Governance oversight, risk strategy
- **IT:** Data quality, system security, monitoring integrity

One-size-fits-all training = INEFFECTIVE (audit finding).

C.24.1: AML Function Independence

Reporting Structure Requirements

- Independent of business lines (no conflict of interest)
- Reports to senior management or board
- Direct access to board to escalate issues
- NOT reporting to sales/relationship management

Compliance reporting to sales department = structural conflict.

C.25.1: Relationship Manager Obligations

First Line Responsibilities

- Identify unusual activity in their customer relationships
- Report through internal escalation channels
- Document observations
- NOT independently close alerts without compliance review

RM cannot override compliance determination based on "commercial importance."

C.26.1: AML-Cybersecurity Collaboration

Cross-Functional Value

Cybersecurity shares with AML:

- Threat intelligence (indicators of compromise)
- Malware patterns
- Credential theft data
- Account takeover indicators

Purpose: Identify money mules, cyber-enabled financial crimes.

D.1.1: Network Analysis Tools

Link Analysis for ML Detection

- Maps relationships between accounts
- Identifies hidden clusters (mule networks)
- Detects circular transactions
- Reveals common counterparties and addresses

Example: 17 wallets funded from same source, circular NFT trading → network analysis exposes wash trading.

D.2.1: Data Quality Risks

Most Critical Data Issue

Missing customer identification numbers preventing entity linkage across systems = greatest AML monitoring risk.

Consequences: Cannot link customer's activity across products, fragmented view, suspicious patterns hidden.

D.3.1: Risk-Based Onboarding Friction

Balancing Compliance and Experience

- Low-risk: streamlined digital verification (e-KYC, document upload)
- High-risk: additional steps commensurate with risk
- **NOT** same intensity for all customers

Avoid: Zero verification (high risk) OR uniform intensive verification for all customers (poor experience).

D.4.1: Strong Digital Onboarding

Multi-Layered Approach

- 1 Government ID document verification
- 2 Facial recognition with liveness detection
- 3 Biometric comparison to ID photo
- 4 Geolocation/IP consistency checks

NOT sufficient: Self-reported name/address only, email verification only.

D.5.1: Credible OSINT Sources

Reliable Adverse Media Sources

- Official government gazettes
- International sanctions databases
- Reputable investigative journalism consortia (ICIJ, OCCRP)
- Commercial corporate registries
- Court records

NOT credible: Unverified social media, anonymous blogs, unmoderated forums.

D.6.1: Fuzzy Logic Requirement

Why Exact-String Matching Fails

Arabic-origin names have many common transliterations:

- SDN: "Moammar Qaddafi"
- Wire: "Muammar Gadaffi"

Required: Fuzzy logic/algorithmic matching capable of identifying phonetically similar variants.

D.6.2: OFAC Voluntary Self-Disclosure

VSD Mitigation

- Can reduce civil penalty by up to 50%
- Requires full factual account, root cause analysis, remediation plan
- **NOT automatic criminal referral**

Aggravating factor: Pre-existing knowledge of deficiency not remediated.

D.7.1: Trigger-Based Refresh

Perpetual KYC (pKYC) Advantage

Continuously monitors for trigger events:

- Sudden change in transaction pattern
- New high-risk counterparties
- Adverse media alerts
- Sanctions list updates

vs. periodic refresh: Timely detection rather than waiting for 3-year cycle.

D.8.1: Actionable Adverse Media

Reasonable Suspicion Standard - No Conviction Required

- CEO named (not charged) in parliamentary corruption inquiry
- Predecessor company dissolved after trade fraud investigation
- Counterparty's director on Interpol Red Notice

Action: Escalate to compliance committee, re-assess risk, initiate EDD, consider SAR filing.

D.9.1: Re-Screening Requirements

Risk of One-Time Screening

When sanctions lists are updated:

- New designations added
- Existing customers may become sanctioned
- Must re-screen existing customer base
- One-time onboarding screening insufficient

D.10.1: Wire Transfer Required Fields

SWIFT/Sanctions Screening Requirements

- Originator name
- Originator account number
- Beneficiary name
- Beneficiary account number
- Originator address (for transfers ≥ \$1,000 under FATF Rec 16)

D.11.1: False Negative Risk

Over-Filtering Danger

Raising thresholds to reduce alert volume:

- Increases false negatives (missed suspicious activity)
- More dangerous than false positives
- NOT acceptable for operational efficiency alone

Outcome: Material deficiency requiring recalibration and remediation plan.

Black-Box Model Governance Risk

High accuracy (82%) insufficient if:

- Analysts cannot understand why flagged
- Cannot validate for effectiveness
- Cannot identify/correct biases
- Regulators cannot assess legal soundness
- SARs based on unexplained outputs may not withstand scrutiny

Requirement: Model explainability is core governance requirement.

Link Analysis for Investigation

Identifies hidden relationships:

- Common counterparties
- Shared addresses
- Circular transactions
- Multi-account clusters

Example: 17 accounts same IP address/VPN, same institutional lender, offshore repayments.

D.14.1: NFT Wash Trading Detection

Circular Transaction Pattern

- 17 wallets funded from same exchange account
- NFTs bought/sold among themselves 89 times
- Prices artificially inflated \$2k → \$340k
- Sold to third party at inflated price

Action: SAR filing based on wash trading pattern.

D.15.1: GDPR-Compliant Data Sharing

Data Sharing for AML - Appropriate Safeguards

- Data sharing agreements
- Data minimization (share only necessary data)
- Contractual data protection provisions
- GDPR Article 49 derogations for AML

NOT: Share all data without restrictions OR refuse all sharing.

D.16.1: Tool Selection Criteria

Highest Priority Factors

- 1 Configurable to bank's specific risk profile (from EWRA)
- 2 Can integrate with existing core systems
- 3 Data ingestion capability

NOT highest: Lowest cost, vendor marketing, office location.

D.17.1: Risk-Based Resource Allocation

Proportionate Resource Allocation

- More resources to higher-risk business lines, products, customer segments
- Appropriate controls for lower-risk areas
- Based on EWRA findings

NOT: Equal budget allocation regardless of risk, allocation based solely on revenue.

Top 10 Most Tested Topics

- 1 **FATF Mutual Evaluations** - Technical Compliance vs. Effectiveness (IO.6, IO.7, IO.8)
- 2 **FATF Grey List vs. Black List** - EDD vs. Countermeasures
- 3 **PEP EDD Requirements** - Source of Wealth AND Source of Funds
- 4 **USA PATRIOT Act Sections 311, 313, 314(a), 314(b), 319(b)**
- 5 **Correspondent Banking** - Nested accounts, PTAs, shell banks
- 6 **Three Lines of Defense** - Independence violation (audit designing controls)
- 7 **TBML Techniques** - Over-invoicing, under-invoicing, phantom shipping
- 8 **SAR Filing Standard** - Reasonable suspicion (not conclusive proof)
- 9 **Transaction Monitoring** - False negatives & false positives
- 10 **Tipping-Off** - What is prohibited vs. permissible

Critical Red Flags - Quick Reference

- **Structuring:** \$9,000-\$9,800 repeated deposits
- **PEP:** Minister's daughter, "consulting fees," refuses SoW docs
- **TBML:** Price 400% above/below market, shell company exporter
- **Human Trafficking:** Multiple individuals → 1 controller account → pays multiple residential utilities
- **NPO/TF:** Rapid cash withdrawal (80% in 48hrs) far from HQ
- **Correspondent:** Undisclosed nested transactions, PTA with unlicensed MSBs
- **DeFi:** 68% governance token control, ability to upgrade code
- **Sanctions:** Fuzzy name matching required (exact-string fails)

Exam Day Reminders

- **120 questions — 3.5 hours — Passing score: 75**
- **Select Two/Three/Four** questions = get ALL correct for credit
- **FATF and USA PATRIOT Act** = heaviest topics
- **Read scenarios carefully** - facts matter
- **No penalty for guessing** - answer every question

Good luck on your CAMS exam!